Project Selection - Key Terms Glossary

SECTION: Net Present Value (NPV)

The sum of discounted future cash flows minus the initial investment; a project is generally acceptable if NPV is greater than zero.

SECTION: Return on Investment (ROI)

The ratio of net discounted benefits to discounted costs, expressed as a percentage.

SECTION: Payback Period

The length of time required to recover the initial investment from net cash inflows.

SECTION: Internal Rate of Return (IRR)

The discount rate at which a project's NPV equals zero; a project is acceptable if IRR exceeds the required rate of return.

SECTION: Weighted Scoring Model

A technique for comparing projects against multiple weighted criteria, including non-financial strategic factors.

SECTION: Discount Rate

The rate used to convert future cash flows into their present value, reflecting the time value of money and risk.

SECTION: Hurdle Rate

The minimum acceptable rate of return an organization requires before approving a project.

SECTION: Opportunity Cost

The value of the next best alternative given up when a particular project is chosen.

SECTION: Sunk Cost

A cost that has already been incurred and cannot be recovered, and should not influence future decisions.

SECTION: Cash Flow

The net amount of money moving into or out of a project during a given period.